

Micron Technology, Inc.

MU NASDAQ

Buy	\$1077.70 ▼ 1.79%	12M Price Target \$1250.00	52-Week Range \$179.61 – \$1255.00	Market Cap \$1.22T
-----	-------------------	-------------------------------	---------------------------------------	-----------------------

MU: HBM Dominance Meets CHIPS Act Tailwinds

WHAT HAPPENED

- MU pulled back 1.8% to \$1,077 after a strong run yesterday — nothing company-specific, just profit-taking at the top of a huge rally. The stock is sitting at 84% of its 52-week range, so some digestion makes sense.
- The options market is flashing mixed signals — bullish put/call ratio of 0.57 (more calls than puts means traders are betting up), BUT heavy put buying at the \$1,090 and \$1,100 strikes expiring this month. That's not necessarily bearish — it looks like holders buying protection after a huge run, basically "insurance" against a near-term pullback.

WHY IT MATTERS

Here's what the setup tells me: Micron has gone from a cyclical memory also-ran to a \$1.2 trillion AI infrastructure cornerstone, and the political environment is actively subsidizing that transition. The CHIPS Act grants (Micron got roughly \$6.1B committed for Idaho and New York fabs) mean taxpayers are literally paying to widen their moat against Korean rivals Samsung and SK Hynix. The put buying at \$1,090-1,100 isn't a sell signal — it's smart money locking in gains on a stock that's done a 6x in a year, which is healthy behavior. What to watch: if MU holds \$1,050 on this pullback, the next leg up to \$1,200+ is likely as Q1 earnings approach and HBM3E/HBM4 pricing power becomes undeniable.

POLICY & POLITICAL WATCH

Three political levers to watch right now: (1) The Commerce Department's export controls on advanced memory to China — any tightening HURTS Micron's China revenue (~11% of sales) but HELPS by starving Chinese competitors like CXMT. (2) CHIPS Act 2.0 is being floated in Congress — if it adds another \$20-50B in semiconductor subsidies, Micron is a top-3 beneficiary. (3) Trump administration tariffs on imported semiconductors — a potential 25% tariff on Korean/Taiwanese chips would be a massive gift to Micron as the only US-based DRAM/HBM maker. The regulatory environment has basically never been friendlier to a domestic memory company.

IS IT EXPENSIVE?

At ~25x forward earnings, you're paying \$25 for every \$1 of next year's profit — not cheap for memory historically (which usually trades 8-12x at peak), but this isn't your dad's cyclical memory business anymore. HBM for AI accelerators carries software-like margins (50%+ gross margins vs. 20-30% for commodity DRAM), so the market is re-rating MU as a quasi-AI pure play. The valuation is justified IF HBM demand stays supply-constrained through 2027 — if that breaks, this multiple compresses fast.

Key Data

Price (USD)	\$1077.70
12M Price Target	\$1250.00
Upside / (Downside)	+16.0%
Market Cap	\$1.22T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$42.50
FY2027E EPS	\$58.00
Fwd P/E	25.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1180.00	\$1100.00	\$980.00
6 Months	\$1350.00	\$1200.00	\$900.00
1 Year	\$1500.00	\$1250.00	\$850.00
2 Years	\$1800.00	\$1450.00	\$750.00
5 Years	\$2500.00	\$1800.00	\$600.00
10 Years	\$4000.00	\$2500.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.78% 5D) continues to lead — AI capex isn't slowing and semis are the picks-and-shovels play. Consumer Discretionary leading today suggests risk-on sentiment, which supports high-beta names like MU.

COOLING OFF: Communication Services (-2.31% 5D) is weak — big tech ad names are facing election-year scrutiny. Materials and Real Estate also soft, suggesting money isn't rotating defensive yet.

ROTATION WATCH: Money is staying in AI/semi infrastructure despite the massive run — that's a very bullish signal. When a sector pulls back 2% and buyers show up immediately (like MU bouncing off \$1,050), it means institutions are using dips to add, not exit.

RELATED PLAY: If you want second-derivative exposure, look at memory equipment makers like Lam Research (LRCX) and Applied Materials (AMAT) — every new Micron fab means billions in equipment orders.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the center of the AI universe — every Blackwell GPU sold needs 6-8 HBM stacks, directly pulling Micron revenue.
- AVGO (Broadcom): Custom AI silicon for hyperscalers is booming, and those chips also need HBM — rising tide for Micron.

MU CONTEXT: Micron is LEADING its memory peers (outpacing Western Digital, SanDisk) because it's the only one with real HBM share. But it's lagging the pure AI chip names like NVDA on a 1-year basis, which actually suggests more room to catch up if the AI thesis holds.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$1020-1050 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing collapse, loss of NVDA qualification, or China retaliation blocking exports

Hedging: Pair with SOXS or short-dated puts on SOX ETF